

HERE ARE DECADES WHERE NOTHING HAPPENS; AND THERE ARE WEEKS WHERE DECADES HAPPEN.” THE COMMENT BY VLADIMIR LENIN, THE ARCHITECT AND FOUNDER OF SOVIET RUSSIA, IS A PERFECT SUMMATION OF THE RECENT DEVELOPMENTS IN INDIA. THE WEEK FROM JANUARY 26 TO FEBRUARY 2 SAW THE INDIAN ECONOMY SURMOUNT LONG-PENDING AND SEEMINGLY INTRACTABLE CHALLENGES.

26 | First came an agreement for a trade deal with the 27-member European Union (EU), punctuated by the presentation of the Union Budget 2006-27 on February 1, capped by a late-night tweet from US President Donald Trump on February 2 announcing a trade pact that will lower tariff on specified Indian goods from a staggering 50% to 18%.

The three developments—the India-EU FTA, a Union Budget focussed on growth and capacity building, and the trade pact with the US—are set to brighten India’s economic outlook for FY27. While much will depend on the fine print of the measures and how they are executed, policymakers, economists and industry stakeholders are hopeful these will remove uncertainty and boost investments and economic activity.

Prime Minister Narendra Modi said the deals have given the world confidence that it is moving towards stability and will expand opportunities for India’s youth. The US and the EU are the world’s largest economies with a combined GDP of

\$50 trillion and India’s key export destinations. India’s exports to the US were 2.2% of GDP and to the EU they were 2% of GDP in FY25.

“Closer trade ties with the US and the EU could provide a meaningful, though gradual, lift to India’s growth by expanding market access and improving export competitiveness. Beyond trade flows, a more predictable relationship could boost investor confidence and attract export-oriented investments, reinforcing India’s position as an alternative manufacturing and services hub amid shifting global supply chains,” says Upasana Chachra, Chief India Economist, Morgan Stanley. She says the benefits of trade deals are realised over years, contingent on drivers such as implementation, regulatory alignment and capacity building. “Without parallel progress on logistics, standards, and skills, the gains may remain incremental. While both the India-US and India-EU trade deals have the potential to boost India’s economic prospects, their timing, scope and mechanisms will

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BIG DEAL

- India to eliminate or reduce tariffs on all US industrial goods and a wide range of food and agri products, including dried distillers’ grains, red sorghum, tree nuts, fresh and processed fruit, certain pulses, soybean oil, wine and spirits, and additional products
- Duty cuts on high-end bikes, cars, with quotas
- Duty cuts on alcohol with minimum import quota
- 0% duty on Harley Davidson bikes
- No concessions on GM items, meat, poultry, dairy, soyabean, maize, rice, wheat, sugar, millet, specific fruits, oil seeds, animal feed products, non-alcoholic beverages, tobacco, ethanol